

The Impact of Tariffs on Global Pharmaceutical Companies

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Executive Summary

Key Insights:

- U.S. imposed tariffs up to 245% on Chinese APIs and pharmaceutical products, which is driving raising costs, disrupting supply chains, and increasing the risk of drug shortages and higher prices in the U.S.
- Tariffs are Chinese pharmaceutical companies to re-evaluate their sourcing and supply strategies
- Boosting U.S. pharmaceutical manufacturing by promoting local production, diversifying supply chains, and providing government support
- US pharma companies face rising costs and increased risks of drug shortages
- J&J ($55B) and Roche ($50B) are major investors among leading Top 10 pharmaceutical companies
- Major cost and strategic challenges for pharma companies with annual impacts ranging from $150 million to $400 million per company



China’s Biopharma Industry Faces U.S. Tariff Pressures

Impact:

- U.S. imposed tariffs up to 245% on Chinese APIs and finished pharmaceutical products, sharply increasing their costs
- Higher costs make Chinese pharmaceutical imports less competitive in the U.S. market
- U.S. generic drug manufacturers & global drug manufacturer, who rely on Chinese APIs for about 30-40% of their supply, face increased production costs and may pass these on to consumers, raising drug prices
- Chinese pharma companies are being forced to reassess global sourcing strategies and may seek alternative suppliers or domestic production
- U.S. tariffs on Chinese pharmaceutical products disrupt not only U.S.-China trade but also global pharmaceutical supply chains

Tariff Rates	Up to 245% on Chinese APIs and pharma imports
Supply Chain	Disruptions, higher costs, need for diversification
Drug Prices	Expected to rise in the U.S.
Shortages	Risk of worsening medication shortages
Innovation Partnerships	Still strong, but under pressure
Retaliatory Tariffs	China imposing own tariffs on U.S. goods
Exemptions	Temporary (subject to change)



Tailwind for US Investment

1. Tariffs have accelerated efforts to relocate pharmaceutical manufacturing to the US to reduce reliance on foreign suppliers
2. Pharma companies are diversifying sourcing and strengthening supply chains for long-term flexibility and advantage
3. Administration is encouraging US-based pharmaceutical production through tariffs and new incentives
4. Companies localizing production may gain regulatory support, less trade risk, and better access to government contracts
5. Some critical pharmaceutical and healthcare products got temporary tariff exemptions for immediate relief and strategy adjustment



Headwind for US Investment









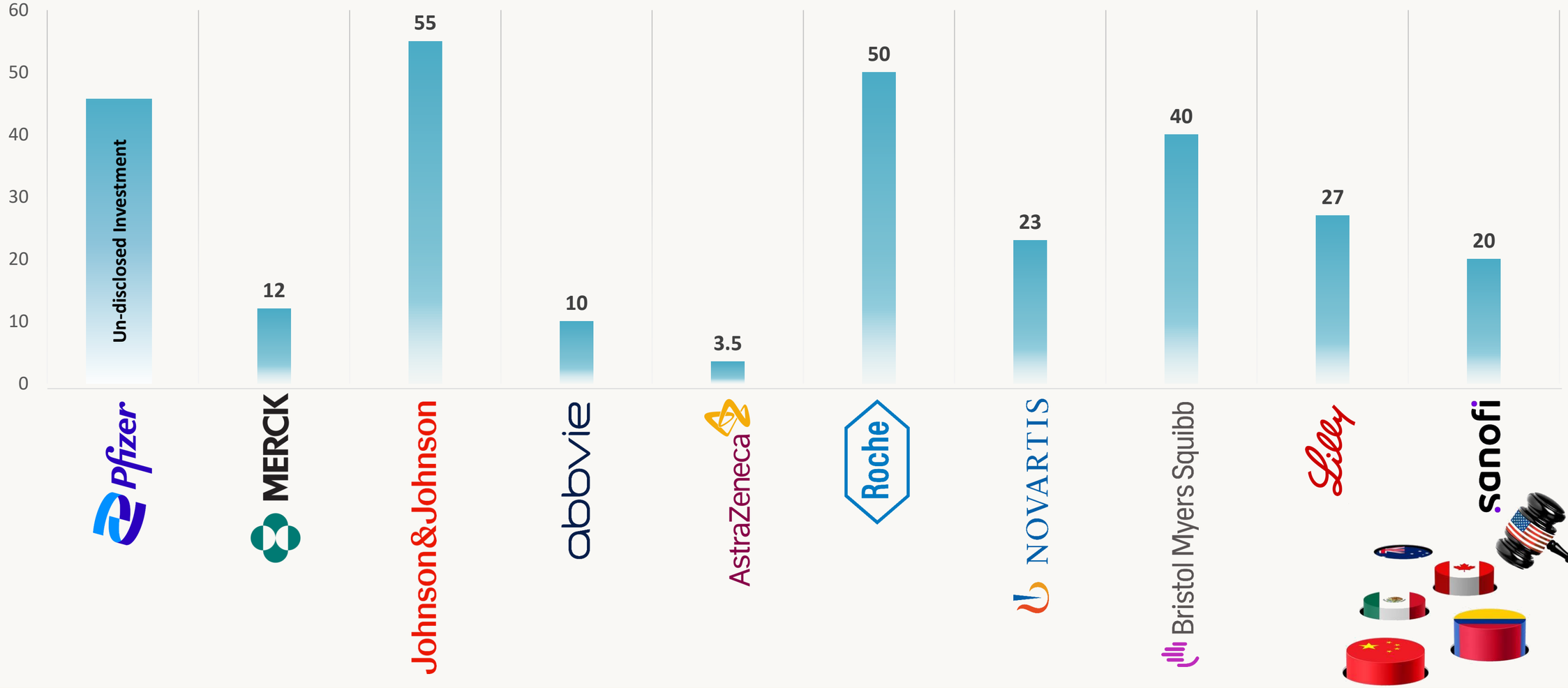




1. Tariffs are sharply raising costs for US pharma companies, especially for generics that rely on Chinese ingredients
2. Heavy reliance on imports increases the risk of drug shortages and delays in patient care
3. Higher costs will likely lead to price increases for generic drugs and worsen drug shortages
4. Higher costs may force companies to cut R&D, slowing innovation and reducing new drug development
5. China and Canada have imposed retaliatory tariffs on US pharma exports, threatening US market access
6. US drug manufacturing self-sufficiency will take years, leaving the sector vulnerable meanwhile



Top 10 Pharma Companies Investment plan ($B)



Pfizer



Albert Bourla

CEO

Bourla's statement on pharma tariff,

- *"If I know that there will not be tariffs … then there are tremendous investments that can happen in this country, both in R&D and manufacturing,". Adding that the company is also hoping for "certainty"*
- *"In periods of uncertainty, everybody is controlling their cost as we are doing, and then is very frugal with their investment, as we are doing, so that we are prepared for remit. So that's what I want to see,"*

Key Insights:

- Expects $150 million in tariff costs this year
- Clear and stable trade policies are essential to unlock significant domestic investment
- Pfizer has not changed its full-year outlook and these costs are manageable within the current guidance
- Uncertainty over Trump's proposed drug tariffs is making Pfizer pause new U.S. investments
- 15% global minimum tax has influenced manufacturing, but hasn't boosted U.S. investment appeal
- More tax incentives or clearer tariff policies are needed to encourage additional domestic manufacturing

In summary,:

- Bourla said uncertainty over U.S. pharmaceutical tariffs is holding back Pfizer's domestic investment



Merck & Co.



Robert M. Davis

CEO

Davis's statement on pharma tariff,

- *"As you look at 2025, we're well positioned with inventory to be able to mitigate anything we could see in the short term."*
- *"We've already started to identify where we can either reposition our own manufacturing" added for medium to long term*

Key Insights:

- Expects $200 million in tariff costs this year
- Invest $12 billion in U.S. manufacturing and R&D and expected to invest more by 2028
- Expecting adjusted earnings per share of $8.82–$8.97, decline from $8.88–$9.03
- Moved key product inventories to the US to avoid supply disruptions and lessen tariff impacts

In summary,:

- Davis said that increasing U.S. inventory and manufacturing to offset the impact, without raising drug prices



Johnson & Johnson

Johnson&Johnson



Joaquin Duato

CEO

Duato's statement on pharma tariff,

- *"If what you want is to build manufacturing capacity in the U.S., both in medtech and in pharmaceuticals, the most effective answer is not tariffs, but tax policy"*
- *"As a matter of fact, since President Trump's 2017 tax reform, investments in manufacturing both in medtech and in pharmaceuticals have significantly increased"*

Key Insights:

- Expects $400 million in tariff cost this year
- Raised 2025 sales forecast to $91.6–$92.4 billion, up $700 million
- Tariffs harm supply chains and urges tax cuts
- J&J's $55 billion U.S. manufacturing surge is fueled by tax breaks, not tariffs
- Streamlining its portfolio by dropping non-strategic products and investing in new U.S. facilities
- Leaders are confident in managing tariff risks
- Future pharmaceutical tariffs will mainly target generics and precursor chemicals

In summary,:

- CFO said Pfizer can't easily pass tariff costs to customers due to existing contracts



AbbVie



Rob Michael

CEO

Duato's statement on pharma tariff,

- *"We hope the administration contemplates the harm that international reference pricing could have on U.S. healthcare, the U.S. healthcare industry and future innovation"*
- *"I think anything like price controls, cost increases or higher taxes just leave less investment available across the industry to advance new, innovative medicines"*

Key Insights:

- Invest $10 billion through 2035 to expand US manufacturing
- Strong U.S. manufacturing—with 11 sites and 6,000 employees
- Raised its Q1 2025 guidance but excluded potential tariff impacts
- Reducing tariff risks by diversifying suppliers, boosting efficiency, and strengthening inventory management
- Faces significant tariff risks, but its strong U.S. manufacturing base provides partial protection

In summary,:

- Boosting U.S. manufacturing and cost controls to offset tariff risks without raising prices for customers



AstraZeneca



Pascal Soriot

CEO

Duato’s statement on pharma tariff,

- *“If tariffs were implemented in the range we have seen recently in other industries on medicines imported from Europe to the U.S., we would remain within the guidance range we indicated for 2025”*
- *"It's really something that we are going to manage”*

Key Insights:

- Invest $3.5 billion through 2035 to expand U.S. manufacturing and $2.5 billion for new R&D hub in Beijing
- May face a fine of up to $8 million in China over suspected unpaid import taxes
- U.S. tariffs is manageable
- Shifting some manufacturing from Europe to the U.S. to minimize tariff risks

In summary,:

- AstraZeneca is realigning its supply chain and increasing U.S. investments to counter tariff effects and sustain growth amid trade challenges



Roche



Thomas Schinecker

CEO

Duato's statement on pharma tariff,

- *"We would not be impacted by tariffs"*

Key Insights:

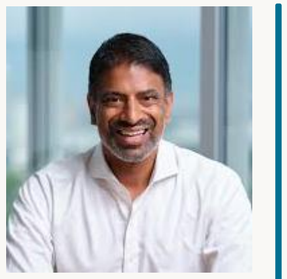
- Invest $50 billion over five years to expand U.S. manufacturing and research
- Helping avoid 31% tariffs on Swiss imports and boosting U.S. exports
- Will create 12,000 new jobs and expand production capacity
- Building new U.S. factories for obesity drugs, gene therapies and glucose monitors, while expanding R&D and existing facilities

In summary,:

- Boosting U.S. manufacturing and seeking tariff exemptions to strengthen its position amid 2025 U.S. tariffs



Novartis



Vasant Narasimhan

CEO

Duato's statement on pharma tariff,

- *"It goes without saying, but I think it's really important that we keep advocating that the United States should not import European price controls and the European anti-innovation . . . environment into the United States"*
- *"We could have done this earlier. I mean, this is a strategic decision to say that [the] U.S. is our most important single market from a growth and revenue standpoint"*

Key Insights:

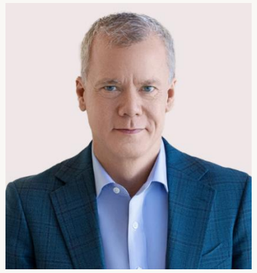
- Invest $23 billion in next 5 years to expand U.S. manufacturing and research operation
- Plan to build new manufacturing sites and expanding others exiting sites
- Aim to manufacture all key medicines for U.S. patients domestically to reduce import reliance and minimize tariff risks
- Confident in its 2025 outlook, sees tariffs as low risk, and maintains strong growth and margin targets

In summary,:

- Novartis is investing $23 billion in U.S. manufacturing to protect its supply chain from tariff risks. The company remains confident in its financial outlook and views the US as its most important market



Bristol-Myers Squibb



Christopher Boerner

CEO

Duato's statement on pharma tariff,

- *"We are motivated by the fact that our medicines can change the lives of patients. But that belief hinges on government policies that encourage highly risky investments and facilitate access. Right now, we have significant concerns that some potential policies surfacing in Washington could threaten the health of Americans and the U.S. economy"*

Key Insights:

- Invest $40 billion in next five years to expand U.S. R&D, technology, and manufacturing
- Raised its 2025 forecasts but hasn't yet factored in potential impacts from new U.S. tariffs
- Boosting its U.S. operations and flexibility to better manage supply chain risks and respond to tariff disruptions
- Flexibly shift manufacturing to address tariff risks
- Expanding its U.S. operations to lessen reliance on foreign supply chains amid tariff concerns

In summary,:

- BMS is actively investing in U.S. operations and preparing for tariff-related risks, while strongly opposing the proposed tariffs, cautioning they may harm innovation, access, and public health



Eli Lilly



Dave Ricks

CEO

Duato's statement on pharma tariff,

- *"I think that actually the threat of tariffs is already bringing back critical supply chains into important industries, chips and pharma,. So do we need to enact [tariffs?] I'm not so sure."*

Key Insights:

- Invest $27 billion in next five years to build four new U.S. manufacturing
- Will create 3,000 skilled jobs and 10,000 construction jobs
- Directly in response to the administration's push for domestic production and the threat of up to 25% tariffs on imported drugs
- Eli Lilly projects a 3% cut to R&D budgets in 2025 due to increased costs associated with tariffs, following a 5% reduction in the previous two years

In summary,:

- Ricks said the company wants permanent lower U.S. tax rates, especially a 15% rate for domestic production, to encourage manufacturing in the U.S. and compete with low-tax countries



Sanofi



Paul Hudson

CEO

Duato's statement on pharma tariff,

- *"Our expected investments in the US will be substantial and will help ensure the production of key medicines in the US"*

Key Insights:

- Invest $20 billion in next five years to expand its U.S. manufacturing and R&D operations
- Direct investments in facilities and partnerships with American manufacturers
- Will create many high-paying jobs
- Global pharmaceutical companies are increasing U.S. investments to strengthen local operations and reduce risks from changing trade and pricing policies

In summary,:

- Sanofi is increasing its U.S. investments in manufacturing and R&D to address tariff threats and stay flexible for future changes



Offerings

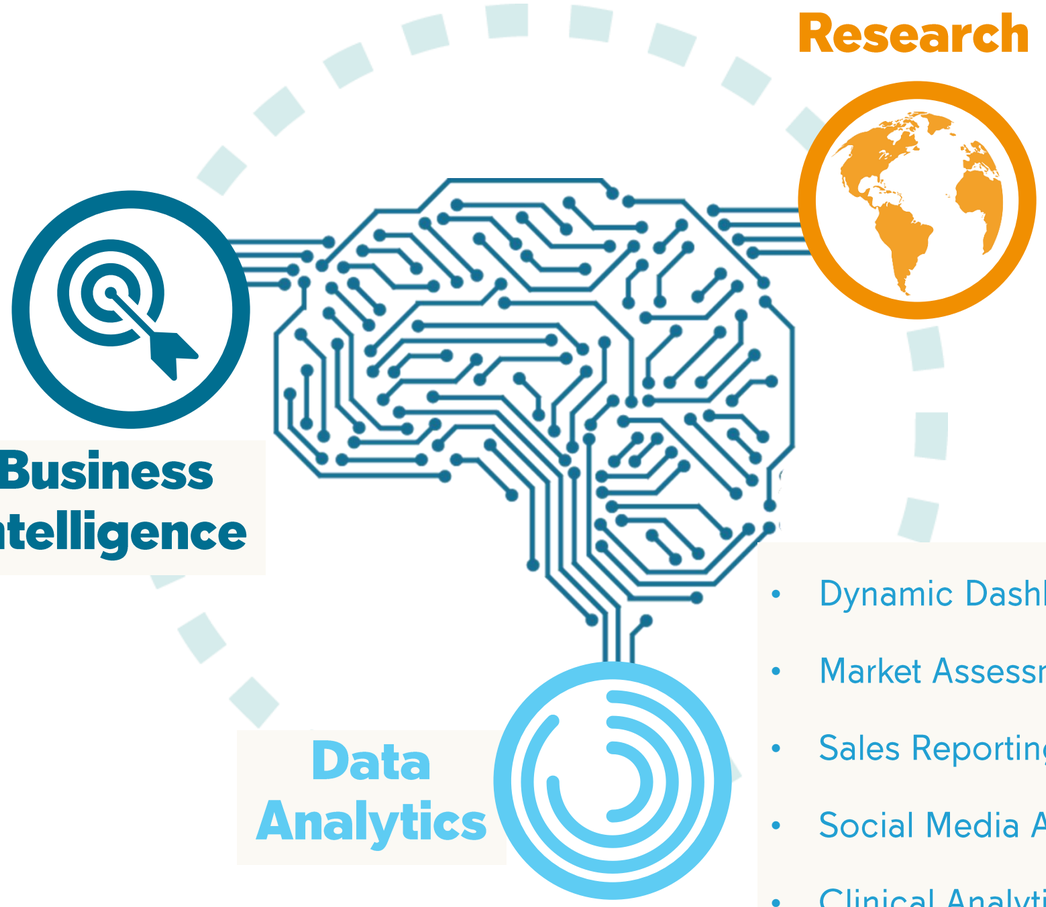
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Leadership Team

Our team comprises seasoned professionals and emerging talent with diverse expertise in life sciences and healthcare, blending years of industry experience with fresh perspectives to drive innovative solutions and comprehensive insights for our clients.



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